

3.2.4 Macroeconomic policy

3.2.4.1 Monetary policy

Content	Additional information
• Monetary policy involves the central bank taking action to influence the manipulation of interest rates, the supply of money and credit, and the exchange rate. • The current objectives of monetary policy, set by the government. • The role of the Monetary Policy Committee of the Bank of England (MPC) and how it uses changes in bank rate to try to achieve the objectives for monetary policy, including the government's target rate of inflation. • The factors considered by the MPC when setting bank rate. • How changes in the exchange rate affect aggregate demand and the various macroeconomic policy objectives.	Students do not need to know how interest rates and the exchange rate are determined but they do need to know how changes in interest rates and the exchange rate affect macroeconomic performance.

3.2.4.2 Fiscal policy

Content	Additional information
• Fiscal policy involves the manipulation of government spending, taxation and the budget balance. • Fiscal policy can have both macroeconomic and microeconomic functions. • How fiscal policy can be used to influence aggregate demand. • How fiscal policy can be used to influence aggregate supply. • How government spending and taxation can affect the pattern of economic activity. • The difference between direct and indirect taxes. • The difference between progressive, proportional and regressive taxes. • The relationship between the budget balance and the national debt.	Students should be aware of the main taxes in the UK and the main categories of government spending, eg spending on defence, health, education and welfare. Students should appreciate that governments may deliberately run budget deficits and surpluses to try to influence aggregate demand but they are not required to understand the arguments relating to the pros and cons of balancing the budget or attempting to limit the size of the national debt.

3.2.4.3 Supply-side policies

Content	Additional information
• The difference between supply-side policies and supply-side improvements in the economy. • How supply-side policies can help to achieve supply-side improvements in the economy. • How supply-side policies, such as tax changes designed to change personal incentives, may increase the potential output of the economy and improve the underlying trend rate of economic growth. • How supply-side policies can affect unemployment, the rate of change of prices and UK external performance, as reflected in the balance of payments on current account. • Supply-side policies include measures such as government spending on education and training, cuts in income and corporation tax, welfare reform, and industrial policy.	Students should recognise that supply-side improvements in the economy often originate in the private sector, independently of government, eg through productivity improvements, innovation and investment.